regarding material fund changes as they occur, to keep investors informed about their fund investments and enable them to make informed decisions about whether to buy, sell, or hold fund shares. Current versions of the fund's prospectus would remain available online and would be delivered upon request in a manner consistent with the shareholder's delivery preference.

- *Improvements to Prospectus Disclosure of Fund Fees and Risks; Request for Comment on Improving Fund Fee and Expense Disclosures:* We recognize that fund fees and risks are two areas that investors find particularly important to assessing a prospective fund investment, and two disclosure areas that can be complex and confusing. We are proposing amendments to funds' prospectus disclosure that are designed to help investors more readily understand a fund's fees and risks, and that use layered disclosure principles that tailor disclosures of these topics to different types of investors' informational needs. We are also proposing amendments that would refine the scope of funds that are required to disclose the fees and expenses associated with investments in other funds as a component of a fund's bottom line annual expenses in the prospectus fee table. Furthermore, we are requesting comment on how we could improve the ways in which funds disclose their fees and expenses, in order to represent the full costs associated with a fund investment more accurately and to help investors better understand their investment costs.
- *Fee and Expense Information in Fund Advertisements:* Finally, we are proposing amendments that are designed to respond to developments that we have observed in fund advertising. The proposed amendments would require that presentations of investment company fees and expenses in advertisements and sales literature be

consistent with relevant prospectus fee table presentations and be reasonably current. The proposed amendments also address representations of fund fees and expenses that could be materially misleading. The proposed advertising rule amendments would affect all registered investment company and BDC advertisements and would not be limited to open-end fund advertisements.

2. Considerations and Goals

Concerns and Considerations about Current Disclosure Framework

The proposed new disclosure framework—particularly, the new tailored approach to disclosure with respect to fund shareholder reports and prospectuses—is designed to address the concern that shareholder report and prospectus disclosures may appear redundant or inconsistent to shareholders, as well as our belief that prospectus disclosure in particular may often be less relevant to the informational needs of a shareholder who is simply monitoring his or her fund investment. As a preliminary matter, fund prospectuses and shareholder reports have historically served different purposes. The prospectus acts as the principal selling document for investors to inform investment decisions and facilitate fund comparisons. The shareholder report, on the other hand, provides information to a fund's current shareholders about the fund's operations and performance during the past fiscal period. Moreover, the shareholder report and prospectus present certain of the same types of information (*e.g.*, fund performance and expenses) differently in light of their intended audiences.[92]

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[92] For example, a shareholder report currently includes backward-looking information about a fund's actual ongoing expenses over the most recent fiscal half-year, while a prospectus includes forward-looking information about fees for new investments in a fund (*i.e.*, sales charges) and the fund's projected future expenses. As another example, a shareholder report typically provides performance and other information as of the end of the fund's most recent fiscal year, while a prospectus presents fund performance as of the end of a calendar year to help prospective investors compare potential fund investments.

As a result, there are ways in which the current disclosure framework may not tailor fund disclosure contents to the needs of different types of investors. Much of the information in a fund's prospectus, including disclosure about the fund's principal investment strategy and principal risks, often remains the same from year to year. Receiving continuing disclosure of this unchanging information therefore might not be useful to existing fund investors, although investors typically receive annual prospectus updates that include this content. On the other hand, to the extent a fund has a material change (*e.g.*, it materially changes its principal investment strategy and has different principal risks, or changes its fees), this information may be more salient to a shareholder's monitoring of his or her investments. Under the current disclosure framework, these changes might not be highlighted to shareholders.[93] The fact that current fund disclosures might not meet investors' informational needs may contribute to investor disinterest or confusion. The potential for disinterest or confusion may be particularly pronounced when a shareholder receives prospectus and shareholder report disclosure close in time, which often occurs in the case of the annual report and the annual prospectus update.[94]

Although prospectus disclosure may be less well-suited for analyzing and monitoring an ongoing fund investment, some fund shareholders may be more likely to review a fund's prospectus instead of its shareholder reports based simply on length. Over the past two decades, the amount of information that funds are required to include in shareholder reports

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[93] For example, to the extent a fund has a known or expected increase in its fees and expenses for the current year, a fund shareholder would receive information about the new fee and expense levels in the annual prospectus update. That is, the prospectus fee table in year 1 would present fees as x%, and in year 2 would present fees as y%. But the prospectus would not necessarily highlight or explain the change from year to year, nor would the fund's shareholder reports.

[94] *See supra* footnote 20 and accompanying text.

(or that funds otherwise voluntarily include in these reports) has increased substantially.[95] This amount of disclosure may not correspond with investors' expressed preferences for concise, layered disclosure that highlights key information. The substantial length of shareholder reports also may make it more difficult for investors to understand and effectively use the information.[96]

In addition, we have considered the extent to which modifying the disclosure framework for funds, for example by requiring funds to transmit the tailored shareholder reports that this proposal envisions, could result in cost savings.[97] Shareholders generally bear these fund expenses, and therefore may be bearing costs for information they prefer not to be delivered to them. For example, retail shareholders may prefer *not* to have delivered to them information that is more technical in nature and may be more relevant for financial professionals and other investors who desire more in-depth information (such as complete fund financial statements, as opposed to receiving summary disclosure about fund holdings and expenses).

This proposal reevaluates funds' disclosure framework in light of all of these considerations. The proposed new approach is based on the goal of promoting more-digestible, tailored disclosure that fund shareholders can use to monitor their ongoing fund investments efficiently and meaningfully, with layered information that may be less

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95 *See supra* footnote 19 and accompanying text (noting that the average page length of annual reports is approximately 134 pages).

96 *See supra* Section I.B.

97 *See infra* Section III.C.2.d (as discussed in this section, we anticipate that the proposed new disclosure framework would produce cost savings, due to reduced printing and mailing costs and processing fees, even after taking into account the effects of our proposed exclusion of open-end funds from the scope of rule 30e-3).

relevant to retail shareholders available online and upon request. Likewise, the proposed approach is designed to help a fund shareholder to use shareholder reports to compare funds he or she already owns and assess how the shareholder's mix of funds fits into his or her overall investment portfolio.

The proposed approach to funds' overarching disclosure framework would be complemented by more-targeted proposed improvements to fund prospectus fee and risk disclosures, as well as proposed amendments to investment company advertising rules. Collectively, the proposed amendments are designed to facilitate investors' ability to make informed investment decisions and monitor their investments thereafter.

Tailoring Fund Disclosure Using Layered Disclosure Principles

The layered disclosure approach underlying the proposed new disclosure framework would build on the Commission's experience in conforming required fund disclosures to the informational needs of different types of investors. In recent years, the Commission has adopted rules that rely on layered disclosure principles to tailor fund disclosures to the particular needs of retail investors, as well as financial professionals and other investors who desire more in-depth information.[98] Similarly, in past years the Commission has taken into account the relative informational needs of new investors and ongoing shareholders in tailoring the requirements for investment company disclosures.[99]

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[98] *See* 2009 Summary Prospectus Adopting Release, *supra* footnote 10; Variable Contract Summary Prospectus Adopting Release, *supra* footnote 27; *see also* discussion at *supra* footnotes 5-6 and accompanying text.

[99] *See* Variable Contract Summary Prospectus Adopting Release, *supra* footnote 27. In particular, the Commission received positive feedback on its proposal to provide an "initial summary prospectus" to new investors in variable annuity and variable life insurance contracts, and an "updating summary prospectus" to investors each year after their initial

The proposed new disclosure framework also would reflect various stakeholders' suggestions and stated preferences for fund disclosure that more directly highlights key fund information and is tailored to investors' needs. For example, the Commission's Investor Advisory Committee has recommended that the Commission develop an approach to funds' shareholder reports that would rely on summary disclosure and layered disclosure principles.[100] Similarly, the proposed new disclosure framework would reflect investor preferences as we understand them based on investor testing, surveys, and other information-gathering, which have consistently indicated that retail fund investors prefer concise disclosure that focuses on the most important fund information.[101]

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investment in a variable contract. *Id.* at text accompanying nn.33 and 335. In part on the basis of that positive feedback, the Commission adopted that proposal.

[100] *See* Recommendation of the Investor Advisory Committee Regarding Promotion of Electronic Delivery and Development of a Summary Disclosure Document for Delivery of Investment Company Shareholder Reports (Dec. 7, 2017), *available at* https://www.sec.gov/spotlight/investor-advisory-committee-2012/recommendation-promotion-of-electronic-delivery-and-development.pdf. The recommendation provided, among other things, that the Commission explore: (1) methods to encourage a transition to electronic delivery that respect investor preferences and that increase the likelihood that investors will see and read important disclosure documents; and (2) development of a summary, layered disclosure document for shareholder reports that incorporates key information from the report along with prominent notice regarding how to obtain a copy of the full report, and would be designed to be delivered either by mail or by email (depending on the investors' delivery preferences). This proposal also takes into account the Investor Advisory Committee's recent recommendation on improving the effectiveness of investor disclosures (including in the context of fund disclosures). *See* IAC Disclosure Effectiveness Recommendation, *supra* footnote 26.

[101] *See* discussion at *supra* Section I.B.1.

Leveraging Technology to Modernize Funds' Disclosure Requirements

In addition, the proposed new disclosure framework would leverage technology to modernize funds' disclosure requirements.[102] Our proposal would use the internet as a medium to provide information to investors and distinguish between information that investors receive directly (either in paper or electronically, depending on investors' preferences) and information that is available to investors online. The proposal also takes steps to encourage funds to use online tools to enhance and personalize the information that they provide to shareholders, as constantly developing online technology presents unique potential to enrich investors' experience in understanding and engaging with their fund investments.[103]

Shareholder Report as the Central Source of Fund Disclosure for Existing Shareholders

In proposing the new disclosure framework, which employs the shareholder report as the central source of fund disclosure for existing shareholders, we considered the extent to which permitting open-end funds to continue relying on rule 30e-3 to transmit shareholder reports would affect our policy goals. Since adopting rule 30e-3, we have continued to analyze and hear from industry participants regarding further improvements to

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[102] Individuals' access to and use of the internet has increased significantly in the last few decades, including among demographic groups that have previously been less apt to use the internet. *See* Pew Research Center, Internet/Broadband Fact Sheet (last updated June 12, 2019), *available at* https://www.pewresearch.org/internet/fact-sheet/internet-broadband. We understand these trends extend to individuals' use of online resources to manage their finances and investments. *See, e.g.,* Can the Internet Transform Disclosures for the Better? Consumer Federation of America (Jan. 2014), *available at* https://consumerfed.org/pdfs/can-the-internet-transform-disclosures-for-the-better.pdf.

[103] *See infra* Section II.B.4.

our disclosure regime. As a result, we now believe that a tailored shareholder report that highlights key information would provide better information for investors than the notices required under rule 30e-3. Furthermore, if a fund were permitted to rely upon both rule 30e-3 and proposed rule 498B, shareholders in such a fund would no longer directly receive shareholder reports *or* annual prospectus updates, and thus would not be sent any periodic regulatory disclosure documents.[104] We believe the proposed new disclosure framework would also largely preserve the expected cost savings to funds and investors that funds would experience by choosing to rely on rule 30e-3.[105]

B. Annual Shareholder Report

We are proposing to add new Item 27A to Form N-1A to specify the design and content of funds' annual and semi-annual reports. We also are proposing to remove the provisions in current Item 27 of Form N-1A that relate to annual and semi-annual reports.

The table below summarizes the proposed content that funds would include in their annual reports or Form N-CSR reports in comparison to current shareholder report disclosure requirements.[106] While the proposed content requirements for shareholder reports that are transmitted in paper would generally be the same as the requirements for reports that are transmitted electronically (and that appear online or are accessible through mobile electronic devices), we are proposing instructions that address electronic presentation and are designed

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[104] *See infra* Section III.C.2.d.

[105] *See id.*

[106] This release separately discusses the proposed content requirements for funds' semi-annual reports. *See infra* Section II.C.

to provide flexibility to enhance the usability of reports that appear online or on mobile devices.[107]

TABLE 1: ANNUAL REPORT CONTENTS

Current Annual Shareholder Report Disclosure *(current Form provision)*	**Description of Proposed Amendments**	**Proposed Rule and Form Provisions**	**Discussed Below In**
--	Add new identifying information to the beginning of the annual report	Item 27A(b) of Form N-1A	Section II.B.2.a
Expense example *(Form N-1A Item 27(d)(1))*	Retain in annual report in a more concise form	Item 27A(c) of Form N-1A	Section II.B.2.b
Management's discussion of fund performance ("MDFP") *(Form N-1A Item 27(b)(7))*	Retain in annual report in summary form	Item 27A(d) of Form N-1A	Section II.B.2.c
--	Add new fund statistics section to the annual report	Item 27A(e) of Form N-1A	Section II.B.2.d
Graphical representation of holdings *(Form N-1A Item 27(d)(2))*	Retain in annual report	Item 27A(f) of Form N-1A	Section II.B.2.e
--	Add new material fund changes section to the annual report	Item 27A(g) of Form N-1A	Section II.B.2.f
Changes in and disagreements with accountants *(Form N-1A Item 27(b)(4))*	Retain in annual report in summary form The entirety of the currently-required disclosure would move to Form N-CSR and would need to be available online	Item 27A(h) of Form N-1A Item 8 of Form N-CSR	Section II.B.2.g Section II.D.1.c

[107] *See infra* Section II.B.4.

	and delivered (in paper or electronic format) upon request	Rule 30e-1(b)(2) and (b)(3)	
Statement regarding liquidity risk management program *(Form N-1A Item 27(d)(6)(ii))*	Retain in annual report	Item 27A(i) of Form N-1A	Section II.B.2.h
Statement regarding the availability of quarterly portfolio schedule, proxy voting policies and procedures, and proxy voting record *(Form N-1A Item 27(d)(3) through (5))*	Include a more general reference to the availability of additional fund information in the annual report	Item 27A(j) of Form N-1A	Section II.B.2.i
--	Add provision allowing funds to optionally disclose in their annual reports how shareholders may revoke their consent to householding	Item 27A(k) of Form N-1A	Section II.B.2.j
Financial statements, including schedule of investments *(Form N-1A Item 27(b)(1))*	Move to Form N-CSR Would need to be available online and delivered (in paper or electronic format) upon request	Item 7(a) of Form N-CSR Rule 30e-1(b)(2) and (b)(3)	Section II.D.1.a
Financial highlights *(Form N-1A Item 27(b)(2))*	Retain certain data points, but generally move to Form N-CSR Would need to be available online and delivered (in paper or electronic format) upon request	Item 7(b) of Form N-CSR Rule 30e-1(b)(2) and (b)(3)	Section II.D.1.b
Results of any shareholder votes during the period *(Rule 30e-1(b))*	Move to Form N-CSR	Item 9 of Form N-CSR	Section II.D.1.d